

IMAG/NARY

Imaginary Venture Capital Partners II, L.P.

Q4 2024

Firm & Market Updates

Coming out of 2024 and heading into 2025, our orientation toward consumer investing is optimistic. We were active in the fourth quarter, making three new early-stage investments and launching Bero, our first incubation to go live out of Fund III. Overall, we feel our opportunity set is relatively very ripe versus previous periods, with a handful of factors creating favorable conditions both in sourcing/dealmaking and (we hope) future liquidity opportunities. This letter will walk you through some of the most pertinent topics permeating the current environment and finish with a brief forward-looking note.

There are several idiosyncratic themes that have been unusually top of mind for us over the last six months or so. Some of these have created tailwinds, and others have created light temporary operational and administrative burdens across the portfolio. None have had materially negative impacts on our portfolio companies. And on balance, we continue to feel very good about the setup as we head into 2025.

On the positive side, we are observing that the intense spotlight on AI continues to inhibit any resumption of the tourism into private consumer brand investing that previously inflated valuations and escalated competitive dynamics, starting with the eCommerce boom coming out of COVID. Currently, generalist funds are not hesitating to allocate their marginal dollar and spend their marginal hour on AI opportunities, and this in turn has left more oxygen for the true believers in consumer to continue to do the work we have always been committed to doing. The number of firms with which we find ourselves consistently competing with on top opportunities has shrunk significantly. In many ways, our competitive set feels as small as it has since we started Imaginary. This isn't to imply that we can reduce the intensity of our efforts; rather, we are underwriting to better outcomes for equivalent efforts given the current setup.

We are also seeing the results of a now yearslong push toward profitability among consumer companies. In general, we have seen improvements in gross margin and EBITDA profitability across the portfolio, especially among the more mature businesses that have begun to shift their focus more significantly toward profitability and eventual liquidity. Across the industry, as we take pitches for live investment opportunities, we are seeing management teams presenting healthier financials than they were in previous cycles. Partly, we are encouraged to see healthier businesses across the industry. But separately, this also means that many of the best companies are not coming to market for balance sheet capital at the same frequency, and of the same magnitude, as they were in those previous cycles – given their improved profitability. We are seeing many more companies and founders looking for secondary liquidity. We are also finding that many companies that might have come to market in previous cycles are simply not having to do so. As a result, we continue to emphasize our thesis-driven outbound sourcing approach. We have implemented a weekly investment team meeting to focus specifically on thesis development, idea generation, and outbound sourcing process. We think the best companies will increasingly have to be reached via outbound interest; so, we are continuing to refine our process and philosophy to put ourselves in the best position to both connect with those companies and pitch the value of the Imaginary team and network. As we continue to refine our investment process and grow along the way, we have begun a search for a couple additions to the investment team; and we are optimistic about the future of the organization and our ability to add new members with unique and complementary skillsets.

There has been a bit of a renaissance in consumer brand M&A activity over the last several months, and we can feel the renewed attention on our category as it permeates investment banks, acquirers, and even other asset managers. Since October of 2024, Pepsi acquired Siete for \$1.2B and Poppi for \$2B; Keurig Dr. Pepper acquired Ghost energy for \$1.7B; Celsius acquired Alani Nu for \$1.8B; and Flowers Foods acquired Simple Mills for \$800M. This is the most active and receptive that the consumer M&A set, especially in Food and Beverage, has felt to us in quite some time. Of course, these acquisitions come in waves, but overall, we are feeling encouraged by the renewed appetite for acquisition among major buyers. This is a good moment for our industry.

Firm & Market Updates (cont.)

On the more challenging side, the volatility around the TikTok ban has produced some uncertainty among our portfolio companies – and required a healthy amount of work and planning from them. TikTok has become an important acquisition channel for many of our emerging brands. For some, it has also become a small but growing revenue channel via TikTok Shop. Harder to quantify—but no less important—is the word-of-mouth effect brands gain from influencers and younger consumers on the platform, which may not translate cleanly into attributable sales but unquestionably fuels awareness and demand in the broader consumer zeitgeist. So the potential for a drag on performance across the portfolio was looming late in the fourth quarter as the industry awaited clarity from TikTok, the Supreme Court, the Administration, and the App Stores as to the future of the platform in the United States. For better or for worse, that result is still unknown. But across our companies, the expectation is that the impact to traffic could be 5-10%. Overall, the companies in the portfolio seem confident in their positioning on other platforms ahead of any scenario in which they need to reallocate spend to Reels or YouTube Shorts, for example. Counterintuitively, around the brief shutdown of TikTok during the transition to the new administration, brands in our portfolio were actually finding efficiencies on TikTok as other brands were preemptively allocating spend away from the platform. Broadly speaking, we don't see any major risk to our portfolio from the TikTok situation.

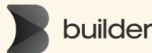
Similar to the TikTok conversations, our portfolio companies have also been navigating uncertainty around potential tariff implementations. Although unlike in the digital ad ecosystem, in which ad spend can be reallocated fairly frictionlessly across platforms, the response to a new tariff regime entails potentially overhauling supply chains and relocating warehouses to circumvent the impact of new policy. We were very impressed with the sophistication of the work that our portfolio companies did to both quantify the impact of new tariffs (a constantly moving target) and prepare to make significant operational and logistical changes to protect margin and customer experience. The portfolio has largely moved away from China-based sourcing, and it is worth highlighting this in more detail for our largest revenue scale companies (\$500M+): SKIMS and The Row. For example, SKIMS has taken China production down to ~15%, from 40% in 2022. The Company estimates that China tariff increases will impact product margin negatively by <100bps, most or all can be offset by a combination of supplier cost sharing and some very minimal price increases. The Row, on the other hand, does zero materials sourcing or production in China. Further, many of our companies have proactively transitioned more of their international production to Delivered Duties Paid (DDP) arrangements or pushed DDP suppliers to absorb incremental costs. Some companies will opportunistically take price to offset some of the margin impact. As a result of all of this work, we anticipate the margin impact across the portfolio to be relatively negligible for most companies, up to a few percentage points for some. We are still monitoring the details and impact of new tariff regimes as news hits on a weekly basis. But overall we feel the portfolio is positioned very well for any long term policy shifts.

Looking ahead, we are kicking off our fundraise for Imaginary Fund IV shortly. You'll be receiving more information from the team on that timeline. We are deeply excited to continue our mission of backing the best consumer brands in the world. By and large, Fund IV will represent a continuation of the strategy we have continued to refine in our current fund. We have also historically run our organization fairly lean from a human capital perspective, and we have begun ideating some evolutions to the Imaginary platform which we think can continue to augment our reputation and competitive positioning in our category. We are looking forward to discussing these with you.

We are excited for the next chapter. We are grateful and humbled by your continued belief and support. And we are as motivated and inspired as ever by your partnership and the opportunity set ahead of us. We can't wait to continue building IMAGINARY and investing – with your backing – in the best consumer brands on the planet.

Priority Company Updates

The companies below are likely to drive meaningful DPI in the fund.

Company	Overview		Initial Investment Date	% Ownership
	10BEAUTY is a technology company whose mission is to bring the beauty services industry into the home.		February 2021	13%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	Revenue Scale Pre-Revenue	YoY % Revenue Growth N/A
Board Seat Kelly Dill	Q4 2024 Updates 10BEAUTY witnessed a pivotal Q4 2024 with a week of successful demos at Ulta Beauty headquarters, delivering their first manicures in public. With the success there, Ulta is extremely bought in and 10Beauty is now working hand in hand with their team toward their first in-store pilot in February and then a full-scale launch in August / September 2025. Overall, the team remains confident that 10Beauty can be the biggest innovation in the beauty industry in the last few decades. In addition, 10Beauty grew their team to 48 (+25% growth) and closed an oversubscribed ~\$7M fundraising round at the end of Q4 2024.			
Other Investors  				
Company	Overview		Initial Investment Date	% Ownership
	BUILDER is a codeless, drag-and-drop editor & headless content management system for websites.		July 2021	5%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	ARR Scale \$10M - \$49M	YoY % Revenue Growth +70% (Q4 and FY)
Board Seat N/A	Q4 2024 Updates BUILDER delivered an impressive 2024, with ARR growing +70% year over year and coming in on plan. Notable new business wins included TicketNetwork, Keurig Dr Pepper, and Deloitte Digital, all with significant expansion potential. New Business metrics remained stable, with a 40% win rate, while an upcoming packaging and pricing update aims to drive ACV growth. Enterprise NDR increased 108%, driven by expansions from Japan Tobacco International and Anheuser Busch, with further growth expected through a Focus Account strategy targeting major expansion opportunities like Apple, Bayer, and Rakuten.			
Other Investors  				
Company	Overview		Initial Investment Date	% Ownership
	MILÀ is an Asian-inspired food brand preserving traditional recipes with a contemporary twist.		January 2022	13%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	Revenue Scale \$50M - \$99M	YoY % Revenue Growth +15% (Q4) +42% (FY)
Board Seat Logan Langberg	Q4 2024 Updates MILA experienced a strong year with annual revenue growing 42% year over year, despite coming in slightly under budget. Both Grocery and Club were up over 100%, while the DTC channel remained flat versus the prior year, which drove the miss to plan. Despite best-in-class margins, profitability continues to be challenging. This past quarter's focus was setting up the business for profitability in 2025. The team will continue to prioritize this by locking in Costco business, investing some marketing dollars to improve Grocery velocities, and reevaluating supply chain & production operations to maximize efficiency and ensure optimal deployment of resources.			
Other Investors 				

Priority Company Updates (cont.)

Company	Overview	Initial Investment Date	% Ownership
 Pepper	PEPPER is a digital infrastructure that powers the historically fragmented foodservice supply chain.	November 2020	10%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	ARR Scale \$10M - \$49M
Board Observer Logan Langberg	Q4 2024 Updates PEPPER experienced an impressive 2024, with ARR increasing 170% year over year and coming in slightly above budget (+2% to plan). The business continues to expand its organization and infrastructure to support faster new customer acquisition, particularly on new business and net expansion. New business, which accounted for 66% of net new ARR, included 52 new logos activated in Q4 and was +300% versus last year. In addition to continuing to scale its new business, Pepper remains bullish both on maintaining its impressive retention, which was 98% in Q4, with just 1 churn.		
Other Investors ICONIQ 			

Company	Overview	Initial Investment Date	% Ownership
 SKIMS	SKIMS is a groundbreaking shapewear and loungewear brand co-founded Kim Kardashian.	March 2020	3%
	Cash Runway 4+ quarters	Profitability Profile Profitable	Revenue Scale \$1B+
Board Seat Nick Brown	Q4 2024 Updates SKIMS witnessed a healthy 2024, recording 26% revenue growth year over year and largely achieving both its revenue and EBITDA targets for both Q4 and FY2024. The slight financial miss was driven by both the pushing off the SKIMS Sport launch to 2025 (due to now partnering with Nike) and the Nordstrom concession model taking longer to build out. The owned Retail channel grew significantly with door count now at 6 owned and 3 concessions (up from only 1 total door last year). SKIMS continues to see healthy loyalty app engagement: 60% of customers who joined the loyalty platform in December were net new customers to the brand.		
Other Investors   			

Company	Overview	Initial Investment Date	% Ownership
 SUNDAYS	SUNDAYS is a modern dog food brand with an air-dried, human-grade product.	June 2021	13%
	Cash Runway 4+ quarters	Profitability Profile Approaching Breakeven	Revenue Scale \$100M - \$499M
Board Seat Logan Langberg	Q4 2024 Updates SUNDAYS recorded a strong year, with revenue up 72% year over year despite coming in below plan. In Q4, Sundays underwent a brand refresh, which included a new positioning strategy that leaned away from its fresh-centric message into a new angle of “human-grade made easy.” Sundays’ focus on its gross margins, supply-chain stability, and OpEx discipline have enabled the business to also grow EBITDA 50%+ year over year. Looking ahead, Sundays is focused on generating more demand through its new messaging, bolstering margin, and minimizing OpEx with the goal of hitting breakeven by the end of 2025.		
Other Investors Avenir  			

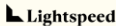
Priority Company Updates (cont.)

Company	Overview		Initial Investment Date	% Ownership
WESTMAN ATELIER	WESTMAN ATELIER is luxury, clean beauty founded by world-renowned makeup artist Gucci Westman.		December 2020	8%
	Cash Runway	Profitability Profile	Revenue Scale	YoY % Revenue Growth
	4+ quarters	Profitable	\$50M - \$99M	+15% (Q4) +24% (FY)
Board Seat	Q4 2024 Updates			
Nick Brown	WESTMAN ATELIER experienced a healthy year and recorded 24% annual revenue growth year over year, despite coming in slightly below plan. Topline growth was driven both by success in key retailers such as Nordstrom and Sephora and hero product categories such as Lip. The team spent much of Q4 focused on winning in its new product launches (i.e., skincare) in key promotional periods, particularly as this quarter marked the brand's first-ever public Black Friday Sale. Looking to 2025, the team is focused on driving growth through existing distribution, meaningful NPD with hero product expansion, and EMEA expansion.			
Other Investors				
PRELUDE GROWTH PARTNERS				

Additional Portfolio Company Profiles

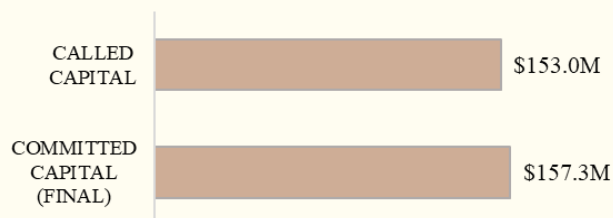
Company	Overview	Initial Investment Date	% Ownership
AMI COLÉ	AMI COLÉ is a clean beauty brand designed to celebrate melanin-rich skin. The company formulates its products with skin-nourishing ingredients from Senegal, West Africa. Ami Colé sells a variety of color cosmetics products.	July 2020	22%
		Board Seat N/A	Other Investors True Beauty Ventures
Company	Overview	Initial Investment Date	% Ownership
BREAD	BREAD is a modern haircare brand focused on textured and curly hair. The \$500B multi-cultural haircare industry is broken for black women, and BREAD aims to fix that. Bread sells a variety of shampoos, hair treatments, masks, and accessories.	February 2020	17%
		Board Seat N/A	Other Investors RACHEL ZOE VENTURES
Company	Overview	Initial Investment Date	% Ownership
DUOS	DUOS is a technology business that helps older adults age gracefully while maintaining independence much later into their lives. The DUOS product provides a tech-enabled personal assistant to help seniors manage daily tasks.	December 2021	7%
		Board Seat Kelly Dill	Other Investors FORERUNNER
Company	Overview	Initial Investment Date	% Ownership
EON	EON is a technology company enabling Digital IDs for retail brands, allowing products to become interactive, intelligent, and profitable assets. EON's software enables brands to create and manage digital identities throughout products' lifecycles.	January 2022	15%
		Board Seat Natalie Massenet	Other Investors  Commerce Ventures
Company	Overview	Initial Investment Date	% Ownership
GRIN	GRIN is a SaaS business providing a CRM and end-to-end suite of tools for eCommerce brands managing influencer marketing campaigns and workflows. Grin offers a fully end-to-end solution for influencer campaign management.	May 2021	3%
		Board Seat N/A	Other Investors  LONE PINE CAPITAL 
Company	Overview	Initial Investment Date	% Ownership
Safely	SAFELY, founded by Kris Jenner and Emma Grede, is a modern home cleaning company, offering a line of elevated and aspirational soaps and detergents with clean ingredients and sophisticated and highly gratifying scent profiles.	November 2020	15%
		Board Seat Nick Brown	Other Investors  ALLIANCE CONSUMER GROWTH

Additional Portfolio Company Profiles (cont.)

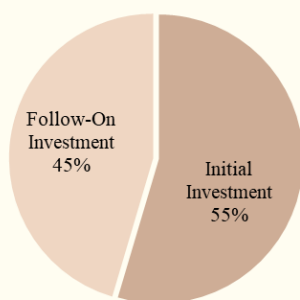
Company	Overview	Initial Investment Date	% Ownership
	SHIFTSMART is a labor network powering the modern workforce at enterprise companies. Shiftsmart connects customers such as Apple, AirBnB, and Subway, among others, to a network of over 400,000 shift workers in 50+ countries.	November 2021	2%
		Board Seat N/A	Other Investors 
Company	Overview	Initial Investment Date	% Ownership
	STRIPE is a fintech and payments business that provides the economic infrastructure for the internet. Its software and APIs allow millions of companies of all sizes to accept payments and send payouts.	March 2021	<1%
		Board Seat N/A	Other Investors  

Portfolio Update

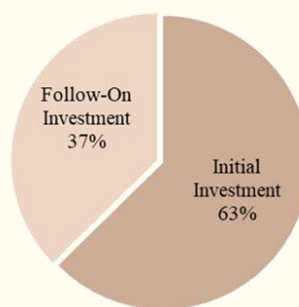
Called vs. Committed Capital



Capital Invested in Initial Rounds vs. Follow-On

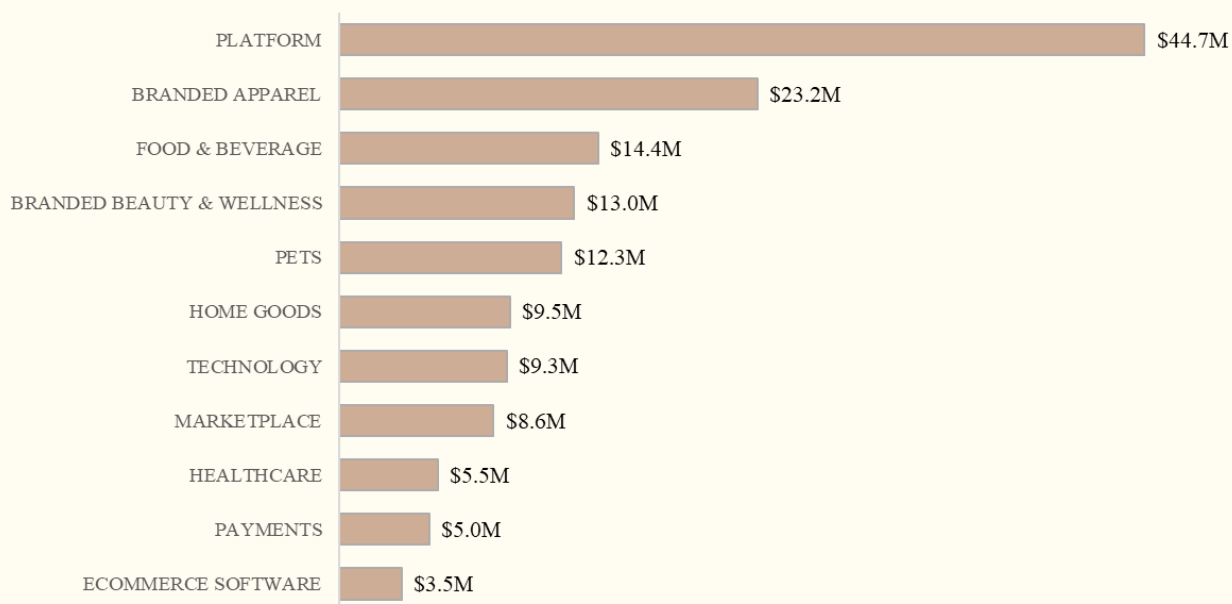


Includes Skims & Foxtrot as Follow-On



Based on investment timing as would be naturally reported

Invested Capital by Sector



Portfolio Update (cont.)

Portfolio Summary

Imaginary II Portfolio Update 12/31/2024

Total Called Capital \$152,965,126	Total Invested Capital \$148,999,780	Fair Market Value \$291,551,845
Total Realized Gain \$10,076,790	Total Unrealized Gain \$132,475,273	Gross Multiple 2.0x



Portfolio Company	Date of First Investment	FD%	Cost	% of Fund Invested	FMV	Realized Gain / (Loss)	Unrealized Gain / (Loss)	Multiple
Imaginary II Core Investments								
Bread	2/19/2020	17%	\$ 1,849,918	1%	\$ 2,526,574	\$ -	\$ 676,656	1.4x
Goodfair	6/12/2020	16%	\$ 2,549,999	2%	\$ -	\$ (2,549,999)	\$ -	-
Ami Cole	7/31/2020	22%	\$ 1,750,000	1%	\$ 1,818,081	\$ -	\$ 68,082	1.0x
Simulate (Nuggs)	8/7/2020	4%	\$ 3,306,060	2%	\$ -	\$ -	\$ (3,306,060)	-
Safely	9/3/2020	15%	\$ 9,491,257	6%	\$ 9,491,257	\$ -	\$ -	1.0x
Pepper (Pomegranate Tech)	11/13/2020	10%	\$ 9,949,996	7%	\$ 13,646,161	\$ -	\$ 3,696,165	1.4x
Westman Atelier	12/8/2020	7%	\$ 9,449,981	6%	\$ 26,044,353	\$ -	\$ 16,594,372	2.8x
Lightspeed (fka NuORDER)	1/13/2021	5%	\$ 10,027,462	7%	\$ 16,934,902	\$ 6,907,440	\$ -	1.7x
10Beauty	2/26/2021	13%	\$ 9,299,997	6%	\$ 13,366,160	\$ -	\$ 4,066,162	1.4x
Brady Brand	4/28/2021	17%	\$ 9,500,001	6%	\$ -	\$ (9,500,001)	\$ -	-
Sundays	6/25/2021	13%	\$ 12,349,997	8%	\$ 28,131,160	\$ -	\$ 15,781,163	2.3x
Builder	7/29/2021	5%	\$ 3,462,500	2%	\$ 3,462,500	\$ -	\$ -	1.0x
Duos	12/15/2021	7%	\$ 5,499,999	4%	\$ 5,499,999	\$ -	\$ -	1.0x
EON	1/24/2022	15%	\$ 6,499,927	4%	\$ 4,874,948	\$ -	\$ (1,624,979)	0.8x
Mila (fka XCJ)	1/27/2022	13%	\$ 11,075,032	7%	\$ 20,994,329	\$ -	\$ 9,919,297	1.9x
Total Core Investments			\$ 106,062,125	71%	\$ 146,790,424	\$ (5,142,560)	\$ 45,870,858	
Imaginary II Strategic Investments								
Skims	3/16/2020	0%	\$ 13,708,264	9%	\$ 124,960,163	\$ 21,242,740	\$ 90,009,159	9.1x
Stripe	3/19/2021	0%	\$ 5,000,016	3%	\$ 3,428,049	\$ -	\$ (1,571,968)	0.7x
Grin	5/5/2021	0%	\$ 11,700,045	8%	\$ 9,741,237	\$ -	\$ (1,958,809)	0.8x
Shiftsmart	11/12/2021	0%	\$ 6,505,940	4%	\$ 6,631,973	\$ -	\$ 126,033	1.0x
Foxtrot	11/19/2021	0%	\$ 6,023,390	4%	\$ -	\$ (6,023,390)	\$ -	-
Total Strategic Investments			\$ 42,937,655	29%	\$ 144,761,421	\$ 15,219,350	\$ 86,604,415	
TOTAL			\$ 148,999,780	100%	\$ 291,551,845	\$ 10,076,790	\$ 132,475,273	2.0x

FMV as reported above includes realized gains & losses, as well as interest and dividends, if applicable, and as a result may differ from the U.S. GAAP financial statements